

Generalized linear models

Logistic regression with categorical covariates

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Logistic regression with categorical covariates - Contents

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Binary covariates

- ▶ x binary, y binary $\rightarrow 2 \times 2$ contingency table
- ▶ Example:
 x gender, y duration of unemployment (short vs. long)

		unemployment		
		short	long	Σ
gender	1 m	403	167	570
	2 f	238	175	413
		641	342	983

$$OR = \frac{403/167}{238/175} = \frac{403 \cdot 175}{167 \cdot 238} = 1,77$$

Binary covariates

How to measure this relation?

- Test : χ^2 - Test, Fisher - Test
- Odds ratio (proportion of chances)
- empirical chances for short term unemployment

$$\text{♂} : \hat{p}(g=1) = \frac{403}{167} = 2.413$$

$$\text{♀} : \hat{p}(g=2) = \frac{238}{175} = 1.36$$

$$\text{Odds ratio} : \hat{p}(1|2) = \frac{\hat{p}(g=1)}{\hat{p}(g=2)} = \frac{2.413}{1.36} = 1.77$$

Binary covariates

True underlying structure

g	u	
	1	0
1	$\pi(g=1)$	$1 - \pi(g=1)$
2	$\pi(g=2)$	$1 - \pi(g=2)$

► Odds: $\gamma(g=i) = \frac{\pi(g=i)}{1 - \pi(g=i)}$

► Odds ratio: $\gamma(g=1|g=2) = \frac{\gamma(g=1)}{\gamma(g=2)} = \frac{\frac{\pi(g=1)}{1 - \pi(g=1)}}{\frac{\pi(g=2)}{1 - \pi(g=2)}}$

Logit model for binary x

- Encoded covariate: $x_g = \begin{cases} 1 & , g=1 \text{ (♂)} \\ 0 & , g=2 \text{ (♀)} \end{cases}$

► Model: $\log\left(\frac{\pi(g)}{1-\pi(g)}\right) = \beta_0 + \beta_1 x_g$

- Interpretation β_0 :

$$\Rightarrow \beta_0 = \log\left(\frac{\pi(g=0)}{1-\pi(g=0)}\right) \text{ log-odds in reference category}$$

$$\Rightarrow \exp(\beta_0) \Rightarrow \text{chance/odds in reference category}$$

Logit model for binary x

- Interpretation β_1 :

$$\beta_1 = \log \left(\frac{\pi(y=1)}{1 - \pi(y=1)} \right) - \log \left(\frac{\pi(y=0)}{1 - \pi(y=0)} \right)$$

$$\approx \log(\gamma(x_y=1)) - \log(\gamma(x_y=0))$$

$$\approx \log \left(\frac{\gamma(x_y=1)}{\gamma(x_y=0)} \right) \rightarrow \text{log-odds ratio}$$

$$\Rightarrow \exp(\beta_1) = \frac{\gamma(x_y=1)}{\gamma(x_y=0)} \rightarrow \text{odds ratio}$$

$\Rightarrow$ logit model parameterizes the odds ratio

Logit model for binary x

Example:

$$\hat{\beta}_0 = 0.307$$

$$\hat{\beta}_1 = 0.570 \quad \text{hard to interpret}$$

$$\underbrace{\exp(\hat{\beta}_0) = 1.36}_{\text{chances/odds female (reference)}}$$

$$\underbrace{\exp(\hat{\beta}_1) = 1.77}_{\text{odds ratio men/women (chances ratio)}} \quad \text{easier to interpret}$$

In general:

$$\hat{\beta}_x = 0 \Rightarrow \text{no relationship} \Rightarrow \exp(0) = 1$$

$$\hat{\beta}_x > 0 \Rightarrow OR > 1 \quad (\text{advantage males})$$

$$\hat{\beta}_x < 0 \Rightarrow OR < 1 \quad (- " - \text{female})$$

Logit model for binary x

Study: Heart diseases of South African men

- ▶ **Response variable:** congestive heart disease (yes/no)
- ▶ **examined influential variables (selection):**
 - ▶ Tobacco consumption (yes/no)
 - ▶ Alcohol consumption (yes/no)
 - ▶ Pre-existing illness in the family (yes/no)

Logit model for binary x

Study: Heart diseases of South African men

	Estimate	Std. Error	z value	Pr(> z)
(Intercept)	-1.687767	0.187832	-8.986	< 2e-16 ***
tobacco	<u>0.140233</u>	0.025059	5.596	2.19e-08 ***
alcohol	-0.001133	0.004291	-0.264	0.792
famhistPresent	1.150282	0.212859	5.404	6.52e-08 ***

Interpretation?

Smoker (with pre-existing disease ^{in family})
non-smoker (— " —) compared to

$$OR = \frac{\exp(-1.69 + 0.14 \cdot 1 + 1.15 \cdot 1)}{\exp(-1.69 + 0.14 \cdot 0 + 1.15 \cdot 1)} = \exp(0.14) = 1.15$$

Multi-categorical covariates

Example:

Level of education



duration of unemployment

$x \backslash y$		short	long
L	1	202	96
	2	307	162
	3	87	66
	4	45	18

odds

$$202/96 = 2.1 = \hat{p}(1)$$
$$307/162 = 1.9 = \hat{p}(2)$$
$$87/66 = 1.3 = \hat{p}(3)$$
$$45/18 = 2.5 = \hat{p}(4)$$

Multi-categorical covariates

$$L = \{1, \dots, k\}$$

Logit model:

Encoding: $L \in \{1, \dots, k\} \Rightarrow x_L(j) = \begin{cases} 1 & L=j \\ 0 & \text{else} \end{cases}$
for $j=1, \dots, k-1$

$$\log \frac{\pi(L)}{1 - \pi(L)} = \beta_0 + \beta_{L(1)}x_{L(1)} + \dots + \beta_{L(k-1)}x_{L(k-1)}$$

Interpretation β_0 :

$$\beta_0 = \log \left(\frac{\pi(k)}{1 - \pi(k)} \right) \quad \text{log-odds in reference}$$

$$\Rightarrow \exp(\beta_0) = \text{odds in reference} \quad (p(k))$$

Multi-categorical covariates

Interpretation of other coefficients:

$$\beta_{L(j)} = \log(\gamma(j)) - \log(\gamma(h)) = \log\left(\frac{\gamma(j)}{\gamma(h)}\right)$$

$\Rightarrow$ log-OR compared to reference

$$\Rightarrow \exp(\beta_{L(j)}) = \frac{\gamma(j)}{\gamma(h)} \hat{=} \text{OR}$$

For instance:

$$\beta_{L(j)} \quad \exp(\beta_{L(j)})$$

1	-0.77	0.84
2	-0.27	0.76
3	-0.65	0.52
4	0	1

$\Rightarrow$ simple interpretation is possible

Models with interactions

Example: y = approval to the 3-month abortion law

Covariates		Response	
gender (G)	age (A)	yes	no
m 0	young 1	0.6	0.4
	old 0	0.5	0.5

f 1	young 1	0.8	0.2
	old 0	0.5	0.5

$$\gamma_{\text{young}} (m | f) = \frac{0.6 / 0.4}{0.8 / 0.2} = \cancel{3} \neq 1$$

$$\gamma_{\text{old}} (m | f) = \frac{0.5 / 0.5}{0.5 / 0.5} = 1$$

Models with interactions

Logit model for this example:

$$\log \left(\frac{P(\text{yes} | G, A)}{P(\text{no} | G, A)} \right) = \beta_0 + \beta_g \overset{0,1}{\underbrace{X_g}} + \beta_A \overset{0,1}{\underbrace{X_A}}$$

$$\Rightarrow \frac{P(\text{yes} | G, A)}{P(\text{no} | G, A)} = \exp(\beta_0) \cdot \exp(\beta_g X_g) \cdot \exp(\beta_A X_A)$$

$$\Rightarrow \underset{\substack{\uparrow \\ \text{is (arbitrarily) fixed}}}{g_A(m|f)} = \frac{\frac{P(\text{yes} | G=m, A)}{P(\text{no} | G=m, A)}}{\frac{P(\text{yes} | G=f, A)}{P(\text{no} | G=f, A)}} = \frac{\cancel{\exp(\beta_0)} \cdot \exp(\beta_g) \cancel{\exp(\beta_A X_A)}}{\cancel{\exp(\beta_0)} \cdot \exp(\beta_A X_A)} = \exp(\beta_g)$$

Models with interactions

Issue:

- ▶ Model can't adequately display the relations from above.
- ▶ Better: Use model with interactions!

Model:

$$\log \left(\frac{P(\text{yes} | G, A)}{P(\text{no} | G, A)} \right) = \beta_0 + \beta_G X_G + \beta_A X_A + \beta_{GA} \overbrace{X_A X_G}^{=: X_{AG}}$$

$$\Rightarrow \frac{P(\text{yes} | G, A)}{P(\text{no} | G, A)} = \exp(\beta_0) \cdot \exp(\beta_G X_G) \cdot \exp(\beta_A X_A) \cdot \exp(\beta_{GA} X_A \cdot X_G)$$

Models with interactions

Interpretation of the coefficients:

- ▶ $\exp(\beta_0)$ odds in the reference category
- ▶ $\exp(\beta_G)$ change by $x_G = 1$ keeping x_A constant
- ▶ $\exp(\beta_A)$ — $1 - x_A = 1$ — $\rightarrow 1 - x_G$ —
- ▶ $\exp(\beta_{GA})$ additional change if $x_G = 1$ and $x_A = 1$
 $\Rightarrow$ difficult to be interpreted alone

Overview

But if $\exp(\beta_{GA}) \approx 1 \Leftrightarrow \beta_{GA} = 0$

$\Leftrightarrow$ relationship age $\leftrightarrow$ response is not gender-specific

gender $\leftrightarrow$ response is not age-specific